

WHAT TO DO (AND WHAT NOT TO DO)

Forecasts are made for a reason. To be successful in investing and in life, one must take advantage of high probability scenarios when they indicate opportunity and defend against high probability scenarios when they indicate danger. Followers of wave patterns took full advantage of the opportunity presented in 1982 when *The Elliott Wave Theorist* announced (a bit dramatically, perhaps) "SUPER BULL MARKET UNDERWAY!" and urged subscribers as follows:

Make no mistake about it. The next few years will be profitable beyond your wildest imagination. Make sure you make it while the making is good. Tune your mind to 1924. Plan during these five years to make your fortune. Then be prepared to lock it up safely for the bad years that are sure to follow.

Back then, taking risk in anticipation of a bullish scenario was warranted. The current juncture, in contrast, is providing us an opportunity to prepare for danger.

How might you go about surviving, and perhaps even prospering, in the approaching financial environment? Whatever your ultimate objective, you must think first of conserving what you have made during the good times. Take steps immediately to position yourself for maximum safety. Your first goal should be to get out of debt. Next, liquidate any assets that are likely to suffer in the depression. These include stocks, investment real estate, long term U.S. bonds and notes, corporate bonds, municipal bonds, "emerging market" debt and equity, overpriced collectibles and even your business, if it suits you.

Avoid having long term funds tied up in currently popular investment strategies. Eschew the now too popular exercise of selectively picking stocks and high yield debt instruments in an attempt to outperform the averages. Outperforming the traditional investment markets by buying the right issues is no longer a rational goal, as these markets will be falling, and outperforming (even if it is successful, which is a rare feat) will simply mean losing less money. Neither will "contrarian" stock market mutual funds be profitable in a bear market, as the only thing most contrarians are contrary about is *what stocks to own*, not whether to own them at all.

Given the high odds of a persistent decline in real estate values and the drying up of liquidity, readers of this book should avoid ownership of real estate for investment purposes unless you are a